Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

BM306 - CORPORATE ACCOUNTING - I

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** Questions

1. What is meant by 'Over subscription'?
2. What are 'Call-in-arrears'?
3. What is the significance of 'Minimum New Issue of Shares'?
4. What do you mean by 'Capital Redemption Reserve Account'?
5. Write a note on 'Sales Ratio'.
6. Write the meaning of 'Profit prior to Incorporation'.
7. Write a note on 'Vendor Suspense Account'.
8. What is meant by 'Acquisition of Business'?
9. What is meant by 'final dividend'?
10. What is 'Corporate Dividend Tax'?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Timex Ltd issued 1,000 8% debentures of Rs.100 each. Give appropriate Journal entries in the books of the company, if the debenture were issued as follows:

    i. Issued at a discount of 5%, repayable at par
    ii. Issued at par, redeemable at a premium of 10%
    iii. Issued at a discount of 5%, repayable at a premium of 10%

12. Modern Fibres Ltd has part of its share capital as 5,000 redeemable Preference Shares of Rs.100 each. When the shares became due for redemption, the company decided that the whole amount will be redeemed out of a fresh issue of equal amount of equity shares of Rs.10 each.

    Show the journal entries in the books of the company.

13. Ganesh Ltd., was registered on 1-1-97 to acquire the running business of Suneel & Co with effect from 1-1-97. The following was the Profit and Loss account of the company on 31-12-97.

Particulars	Rs.	Particulars	Rs.
To Office expenses	54,000	By Gross Profit b/d	2,25,000
To formation expenses (written off)	10,000		
To Stationery & Postage	5,000		
To Selling expenses	60,000		
To Directors' Fees	20,000		
To Net Profit	76,000		
	2,25,000		2,25,000

You are required to prepare a statement showing profit earned by the company in the pre and post incorporation periods. The total sales for the year took place in the ratio of 1:2 before and after incorporation respectively.

14. A Ltd purchased business of A & Co and agreed to settle purchase consideration by the allotment of:

    1000 Equity shares of Rs.10 each at 10% premium to partners
    500 10% Debentures of Rs.100 each at par for loan creditors, and
    Rs.50,000 in cash to partners.

    Calculate Purchase Consideration.

15. On 31.12.1990, the Trial balance of XYZ Co. Ltd., shows provision for tax of Rs.1,00,000 representing the provision of the previous year. The Trial Balance also shows income tax paid Rs.90,000.

    It is estimated that a provision of Rs.1,40,000 is required for the current year's income. Tax deducted at source while receiving interest on investments amounted to Rs.20,000. The gross amount of the interest was shown in the Profit & Loss A/c.

    Write the provision for income tax account incorporating the above details.

16. What is a 'Share? List out various kinds of shares which can be issued by companies.

17. What are the various profits which are not normally available for dividend payment?

SECTION - C (3x10=30)

Answer any **THREE** questions

18. Wye Ltd issued for public subscription 20,000 equity shares of Rs.10 each at a premium of Rs. 2 per share payable as under:

On application	- Rs.2 per share
On allotment	- Rs.5 per share
On first call	- Rs.2 per share
On second call	- Rs.3 per share

    Applications were received for 30,000 shares. Allotment was made pro-rata to the applicants for 24,000 shares, the remaining applications were refused. Money over paid on application was utilised towards sums due on allotment.

    Akbar to whom 800 shares were allotted, failed to pay allotment and calls money and Babar to whom 1,000 shares were allotted failed to pay the two calls.

These shares were subsequently forfeited after the second call was made. All the forfeited shares were sold to Charles as fully paid up at Rs.8 per share.

Show the journal entries in the books of Wye Ltd.

19. On 30th June 1998, the balance sheet of Sandhya Ltd stood as follows:

Liabilities	Rs.	Assets	Rs.
Equity share capital	10,00,000	Sundry Assets	14,00,000
Redeemable Pref. Share Capital	4,00,000	Bank	5,00,000
P& L A/c	3,00,000		
Sundry Creditors	2,00,000		
	19,00,000		19,00,000

On the above date, the preference shares had to be redeemed. For this purpose, 2000 equity shares of Rs.100 each were issued at Rs.110. the company also issued 8% debentures totaling Rs.3,00,000. The shares and debentures were immediately subscribed and paid for. The preference shares were duly redeemed. Give journal entries and the balance sheet after redemption.

20. How do you apportion various expenses between Pre and Post incorporation periods? Explain.

21. Ganguly Ltd was formed with an authorized capital of Rs.12,00,000 divided into equity shares of Rs.10 each, to acquire the business of 'A' and 'B' whose balance sheet on the date of acquisition was as follows:

Liabilities	Rs.	Assets		Rs.
Capital	6,00,000	Freehold Premises		7,00,000
General Reserve	4,00,000	Stock		2,00,000
Sundry Creditors	2,00,000	Sundry Debtors	1,60,000	
		Less: Provision for Bad Debts	10,000	1,50,000
		Cash at bank		1,50,000
	12,00,000			12,00,000

The purchase consideration was agreed upon at Rs.14,00,000 to be paid in Rs.12,00,000 fully paid equity shares at Rs.11 and the balance in cash.

Give journal entries to record the above and prepare the Balance sheet of Ganguly Ltd assuming the vendor's account is finally settled.

22. .A Ltd was registered with an authorized capital of Rs.6,00,000 in equity shares of Rs.10 each. The following is its trail Balance on 31st March 1998.

Trial Balance of 'A'Ltd

	Debit Balance Rs.	Credit Balance Rs.
Goodwill	25,000	-
Cash	750	-
Bank	39,900	-
Purchases	1,85,000	-
Preliminary Expenses	5,000	-
Share Capital	-	4,00,000
12% Debentures	-	3,00,000
P&L A/c (Cr.)	-	26,250
Calls-in-arrears	7,500	-
Premises	3,00,000	-
Plant & Machinery	3,30,000	-
Interim dividend	39,250	-
Sales	-	4,15,000
Stock (1-4-97)	75,000	-
Furniture & Fixtures	7,200	-
Sundry Debtors	87,000	-
Wages	84,865	-
General expenses	6,835	-
Freight & carriage	13,115	-
Salaries	14,500	-
Directors' fees	5,725	-
Bad debts	2,110	-
Debenture interest paid	18,000	-
Bills payable	-	37,000
Sundry Creditors	-	40,000
General reserve	-	25,000
Provision for bad debts	-	3,500
	12,46,750	12,46,750

Prepare Profit & Loss Account, Profit & Loss Appropriation A/c and Balance Sheet in proper form after making the following adjustments:

i. Depreciate plant & machinery by 15%

ii. Write off Rs.500 from preliminary expenses

iii. Provide for 6 months interest on debentures

iv. Leave bad and doubtful debts provision at 5% on sundry debtors.

v. Provide for income tax at 50%

vi. Stock on 31.3.1998 was Rs.95,000

****